money market funds or a bank savings account so it's available if you need it.

- **Your next move will be to begin investing in stock and bond mutual funds. Invest in index funds, since actively managed funds tend to charge higher fees and have not performed any better historically.**
- **Invest only in no-load funds. There's no point in paying hefty sales commissions or fees to invest in a load fund since there's no evidence that they're better investments.**
- **Choose a mutual fund with low expenses. As of this writing, expense ratios average about 1.5% a year for stock funds, about 1.1% for bond funds, and around 0.6% for money market funds. Find a fund that charges less.**
- **Sign up for an automatic investment plan. These plans allow you to have small amounts of money—say, $50 each month—withdrawn from your bank account or paycheck and funneled into a mutual fund. If you invest automatically, some funds will waive the minimum investment requirements.**